CAMBRIDGE CITY COUNCIL

To: Cambridge City Council
From: Finance Co-chairs, Councillor Patricia Nolan and Councillor Ayah Al-Zubi
Date: February 24, 2026
Subject: Process for Identifying Future Budget Priorities

Dear colleagues,

On Wednesday, February 25, 2026, a Finance Committee meeting will be held to "receive a status update on Federal Grants (including ARPA) and the Federal Grant Stabilization Fund, as well as a discussion on establishing future Budget Priorities".

The Federal Grants update is straightforward, the discussion on future budget priorities will require collaboration between the Council and City administration. This portion of the meeting is intended to identify and prioritize initiatives so that the Council can effectively direct the City Manager and staff in aligning resources, planning, and program development with those goals.

This document and process are designed to help us identify 2-3 shared Council priorities for further scoping by City staff. Importantly, narrowing our focus is not meant to exclude, diminish, or eliminate other goals, all of which will continue to be part of conversations between City staff, City Council, and community members. Rather, it reflects the practical need to concentrate staff capacity and financial planning.

As we work to maintain financial stability and moderate budget growth, it is increasingly important to take a disciplined approach to medium- and long-term spending. This requires both prioritization and early direction-setting, so that staff can effectively plan, sequence work, and allocate resources. Some of the ideas we intend to discuss will have implications on both the operating and capital budgets, and even one-time investments can impact our operating budget through debt service and maintenance.

With that in mind, this process has three primary objectives:

1. identify public investment or programming opportunities based on Council goals,
2. identify within those opportunities a list of 2-3 initiatives to prioritize for City staff to scope, and
3. set up a process by which we work on these initiatives collaboratively throughout the scoping so that we can wholly consider feasibility, financial impacts, and implementation.

The Proposed Approach:

Step 1: Confirm the List of Initiatives

The first step is to identify programming or project opportunities based on Council goals. This step will entail reviewing the below list to ensure it is inclusive of major spending priorities. These ideas are not new - the list comes from ideas discussed as a body over the years. Some of the goals in these priorities may be able to be met through other means like state legislation, private partnerships, or federal grants, but we need to prioritize what we can realistically spend municipal funding and staff time on.

Step 2: Identify a Focused Set of Priorities
The second step is to work through a collaborative process to identify within the list, 2-3 initiatives, since only a few initiatives can reasonably be scoped by City staff and the City Manager. That work will involve nuanced discussion and could include a ranking of priorities or a consolidation of priorities. In reviewing these priorities collaboratively, we should each consider:

- how the priority is reflective of Council goals
- how the priority relates to other ongoing initiatives and spending
- the timeline for implementation, and
- the work that has already been done in this area or on this specific initiative.

Step 3: Define a Working Process
Set up a clear process by which the Council and City staff can work through details and check in on those 2-3 priority initiatives. This will ensure that program development and decision points are transparent and in line with Council priorities. The process may include directing work through a specific committee or an Ad Hoc committee, as well as the Finance Committee, and/or the formation of a working group.

Priorities Heard from Councillors (listed in alphabetical order and categorized by priority area)
The following topics reflect priorities raised by Councillors over the course of previous council terms, as well as discussions with the Mayor's office during start-of-term check-ins. Some of these items may overlap, be combined, or align with existing efforts, but we will evaluate this list to determine future funding capacity in budgets for FY28 and beyond.

The list is organized by the Council's adopted "City Council Priority Areas." Councillors are encouraged to review this list alongside the "Consolidated Spending Categories" which appear in Section I of the budget book as well as the narrative examples and notes. A graphic which outlines recent consolidated spending and expenditures is attached for reference.

Please review the list below and let us know as soon as possible if you think there are priorities not represented on this list

Priority (Categorized by priority area)	Implications on Operating and Capital Budget	Committee Path (all eventually involve Finance)	Project narrative examples and notes
Housing and Zoning			
Albany Street Shelter / Shelter Supportive Housing Expansion	Operating and Capital Expenses	Housing & Human Services	Example: Building and operating a new shelter facility with updated services at 240 Albany Street Notes: Several policy orders including POR 2026 #35 (February 2026) and committee discussions. Conversations ongoing with public and private partners in terms of short-term planning expenses and long-term capital and operating expenses.
Community Land Trust Acquisition Funding	Operating and Capital Expenses	Housing	Example: Providing operating expenses for a non-profit community land trust operation and capital funding for land acquisition Notes: No public conversations to date. Could be included in larger conversations around housing development, preservation, and broader housing strategies
Continuum of Care Grant Gaps	Operating Budget Only	Housing & Human Services	Example: Provide replacement funding for a variety of federal funding gaps beyond the current scope of the Federal Grant Stabilization Fund. Notes: Creation of a Federal Grant Stabilization Fund and regular updates from City staff on ongoing court cases and work to prevent the termination of federal grant funding. This funding is still in limbo

			and we will continue to discuss as developments arise.
Day Center	Operating and Capital Expenses	Housing & Human Services	Example: Providing capital funding for the creation of and operating expenses for a Day Center for homeless residents Notes: Several policy orders including POR 2020 #140 (June 2020) and the Homelessness Task Force. Could be included in larger conversations around Albany Street, overdose prevention strategies, and supportive housing programs.
Housing Voucher Expansion	Operating Budget Only	Housing & Human Services	Example: Permanently adding additional municipal housing vouchers and managing it as a permanent tool Notes: Several policy orders including POR 2024 #24 and committee conversations. Still a need to discuss programming goals. Could be included in other conversations around housing. The FY26 Adopted budget included an additional $1M for Housing Voucher expansion. In addition, $1M was allocated from the Federal Stabilization Fund to support housing for mixed-status families during and is in our FY27 operating budget projections
Overdose Prevention Centers	Operating and Capital Expenses	Human Services & Public Safety	Example: Providing capital funding for the creation of and operating expenses for an overdose prevention center Notes: Policy orders including POR 2023 #124, various task forces and committee meetings including Human Services Committee meeting in July 2024, opioid abatement fund distribution, needle drop boxes and access to overdose prevention medical supplies.

			There are questions about legal pathways to creation of an OPC in the current federal administration.
Social Housing Revolving Fund	Operating and Capital Expenses	Housing	Example: Funding the acquisition and development of a social housing portfolio Notes: Several policy orders including POR 2025 #131 and committee conversations including Housing Committee in December 2025. Could be included in a larger conversation around housing priorities and strategies of the Affordable Housing Trust.
Supportive Housing Expansion	Operating Budget Only	Housing & Human Services	Example: Creating additional housing and shelter capacity to create non-congregate and supportive shelter options. Notes: Committee conversations including the Mayor's Task Force on Tenant Displacement, the Ad Hoc Working Group on Homelessness, and Human Services Committee on April 10, 2025 and policy orders including POR 2025 #50. Could be discussed in context of the Affordable Housing Trust and housing funding priorities. The City has recently supported the creation of 96 units of permanent supportive housing across three buildings, with $18 million of funding from the Affordable Housing Trust.
Economic Opportunity and Equity			
Afterschool Program Expansion	Operating Budget Only	Human Services	Example: Expanding afterschool childcare options to offer childcare to every Cambridge child. Notes:

			Several policy orders including POR 2021 #210 in October 2021 and POR 2023 #59 in April 2023, and the Out of School Time (OST) Expansion Study Report in 2025. Should be combined with policy decisions around preschool programming and implementation questions. Since FY24, the City has invested ~1M annually in expanding afterschool, increasing offer rates to 89%, as of August 2025, from 76% in August 2023; further expansion could risk crowding out community programs that are partners in delivering afterschool care. In addition, the FY26 Adopted Budget included $780K to support afterschool and summer childcare through several partners, which is projected to increase to $990K in the FY27 budget (replacing expiring ARPA funds).
Cambridge Preschool Program Expansion	Operating Budget Only	Human Services	Example: Expanding preschool options to offer affordable preschool programming for more Cambridge children. Notes: Significant work on implementation of UPK for all 4-yr olds and many 3-yr olds. Numerous committee meetings and roundtable discussions including CPP Roundtable in January 2025. Still needs significant scoping and policy discussion - questions around age coverage, income scale, and budget implications over several budget cycles.
Food Access Programming / North Cambridge Food Pantry	Operating and Capital Expenses	Human Services & Economic Dev	Example: Creating additional food pantry access or a food hub/grocery store Notes: Community conversations with the Food Pantry Network and non-profit partners to understand need and citywide coordination. Additional conversations around filling federal funding gaps due to SNAP impacts.

Municipal Broadband	Operating and Capital Expenses	Transportation and Public Utilities & NLTP & Health and Environment	Example: Constructing and operating a public/private partnership to install a municipal broadband network throughout the city. Notes: Broadband Task Force, work from Upgrade Cambridge, feasibility study published in March 2023.
Non-profit / Small Business / Co-op Development Support	Operating Budget Only	Economic Dev	Example: Providing more funding and more flexible funding for non-profits as part of the community benefits fund, or funding small business development through business association programming, or funding or programming to assist the development of co-op business development. Notes: Amending community benefits fund standards with the Community Benefits Advisory Committee to allow for more flexible funding, conversations with business associations around small business development. Still need to get more specific about what is already happening and what else we want to accomplish.
Rise Up / Direct Cash Assistance	Operating Budget Only	Human Services & Economic Dev	Example: Developing and implementing a monthly direct cash assistance program for Cambridge residents with low incomes. Notes: Two pilot programs funded through ARPA and community partners with reporting and analysis. Policy order passed in 2024 POR 2024 #131 to begin assessing feasibility of a successor program, culminating with a Human Services Committee meeting in April 2025. Questions remain on prioritization of payments: scale, timeline, lottery, resident classifications.

Youth Centers Upgrades	Operating and Capital Expenses	Human Services & Economic Dev	Example: Redeveloping one or more youth centers to improve programming options. Notes: Community conversations. Should be considered more fully and what goals for programming are. Could be considered in coordination with a larger conversation around municipal facilities improvements plans.
Transportation			
Cycling Safety Ordinance Hard Builds	Mainly Capital Expenses	Transportation and Public Utilities & Health and Environment	Example: Adding additional sections of hardscape separated bicycle lanes. Notes: Policy orders including POR 2024 #152 and conversations around options to improve bicycle safety while retaining necessary on-street parking access. Should be considered in the context of an entire bicycle network and current planning and what more and better bike lanes will mean.
Municipal Shuttle / Fare Free Transit	Operating and Capital Expenses	Transportation and Public Utilities & NLTP	Example: Designing and operating a municipal shuttle service, or better coordinating existing city transit options, or providing funding to the MBTA for fare free bus lines. Notes: Policy orders including POR 2025 #39. Committee conversation on the Transit Gap Study in June 2025. EZRide service expansion on weekdays and weekends. Fare Free pilot program - in 2023, the City had discussions with MBTA and the City of Boston about the potential of a fare free pilot for the #1 Bus. Should consider in terms of a larger transportation planning conversation.

Sustainability and Climate Resilience			
Combined Sewer Overlay Sewer Separation	Mainly Capital Expenses	Health and Environment	Example: Increasing the scope or speeding up the timeline for combined sewer separation programs in order to improve stormwater mitigation on a larger scale. Notes: Various committee conversations including September 2025 and policy order POR 2025 #136, the Stormwater Management Advisory Committee, significant planning by DPW staff in conjunction with Somerville and MWRA. Will include complicated technical conversations about how much more we can do in what areas and for what capital cost, as well as approval by DEP and EPA who are responsible for the overall updated Long Term Control Plan.
Municipal Building Development	Operating and Capital Expenses	NLTP & Economic Dev & Health and Environment	Ex. Investing in redevelopment of City-owned properties in order to improve City operations and consider best citywide uses. Notes: Committee discussions around MFIP planning, the Central Square Lots Study, policy orders including POR 2026 #5, and a planned Council roundtable for April 6, 2026 on municipal building planning. Need to consider needs assessment and current property conditions as well as BEUDO requirements.
Residential BEUDO Funding	Operating and Capital Expenses	Health and Environment & Housing	Ex. Creating a revolving fund to assist small property owners in decarbonizing residential buildings. Notes: Passing amendments to BEUDO to require building emissions reductions over time. Various committee discussions as well as

			recommendations by the Climate Committee to invest in residential building emissions reductions efforts. Need to understand the policy landscape around the anti-aid amendment and funding restrictions.
Tree Planting Expansion	Operating and Capital Expenses	Health and Environment	Ex. Investing in additional capacity to install trees on city-owned property and planting on private land in coordination with other property owners. Notes: Urban Forest Master Plan 5-year updates to be drafted in 2026, several Health and Environment Committee discussions. Should be considered in the context of existing efforts and could be worked into a larger conversation about the Urban Forest Master Plan and Sustainable Cambridge.